

Diversified Portfolio

If one or more blocks become red due to some unforeseen circumstances or due to our wrong decision to invest in certain stocks, the overall loss can be absorbed.

Concentrated Portfolio

However, if major events happen in our concentrated portfolio, we can lose a significant amount of money and might lose most of our portfolio as well.

Conclusion Although a diversified portfolio has limited rewards when compared to a concentrated one, it manages our risk well.

With a diversified portfolio, we still have room for mistakes, so that our portfolio's survival is never in danger. We don't want that risk at any cost, even if we let go of some returns for that.

Institutional Analyst

- o Information Advantage
- o Depth in Research



Retail Investor

Lower Exposure

- o Lower exposure
- o Lack of in-depth information.



Institutional investors have access to a lot of information. They have in-depth knowledge about each and every stock due to the time they invest in research and their training.

Institutional Investors have more comprehensive research than retail investors. We will have less depth in findings because they only spend limited time per week on their research.

They do not have concentrated positions in top firms and thus want to shield themselves from shocks.

Diversification will protect Retail Investors from any dangers in the movement of stock due to their limited exposure.